SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer 1(a)

Pursuant to s.14H(1) of the Inland Revenue Ordinance ("IRO"), a corporation carrying out qualifying aircraft leasing activity would be regarded as qualified aircraft lessor (QAL), and the respective qualifying profits will be taxed at the concessionary profits tax rate of 8.25% (i.e. 50% of the current profits tax rate of 16.5%). Under s.14G(6) of the IRO, "qualifying aircraft leasing activity" refers to aircraft leasing activity carried out in the ordinary course of the corporation's business carried on in Hong Kong, and the aircraft is owned by the corporation when the activity is carried out. Correspondingly, qualifying profits, in addition to rentals derived from leasing of aircraft to a non-Hong Kong aircraft operator, include incidental income such as interest income, exchange gain or hedging gain, to the extent that the relevant transactions are ancillary to the qualifying aircraft leasing activity (Departmental Interpretation and Practice Note ("DIPN") No.54, para.11). In addition, under s.14I of the IRO, the deemed taxable income (i.e. qualifying profits) in respect of income derived by QAL in connection to the leasing of aircraft to a non-Hong Kong aircraft operator will be equivalent to 20% of the net rentals, i.e., gross rentals less deductible expenses, but specifically excluding tax depreciation allowances. In order to enjoy the concessionary tax treatments, the respective corporation must, pursuant to s.14H(4)(b) of the IRO, elect in writing on an irrevocable basis, that the half-rate concession is applicable thereon.

Answer 1(b)

To qualify for the concessionary tax treatments, the new subsidiary established by CNHK should observe various criteria in structuring its operations of carrying out the qualifying aircraft leasing activity. Specifically, under s.14H(4)(a)(i) of the IRO, the central management and control of the new subsidiary must be exercised in Hong Kong. Essentially it is required that the executive officers and senior management employees of the qualifying aircraft lessor and qualifying aircraft leasing manager exercise day-to-day responsibility for more of their strategic, financial and operational policy decision-making in Hong Kong, and conduct more of the day-to-day activities necessary for preparing and making those decisions in Hong Kong, than in any other jurisdiction (DIPN No.54, para.61). Under s.14H(4)(a)(ii) of the IRO, the new subsidiary's profit generating activities must be carried out in Hong Kong by itself. To satisfy this requirement, the core income generating activities which produce the qualifying profits of the new subsidiary as a QAL need to be carried out in Hong Kong. Such activities include: raising funds, agreeing funding terms; identifying and acquiring aircraft to be leased; soliciting lessees; setting the terms and duration of leases; monitoring and revising lease agreements; managing any risks and maintaining documentation (DIPN No.54, para.67). In addition, the new subsidiary must also carry out qualifying aircraft leasing activities only, and must not be an aircraft operator (s.14H(2) of the IRO).

Answer 2

Mr Tan
Salaries tax computation
Year ended 31 March 2018 (Year of assessment 2017/18)

Salary	1,638,000
Discretionary bonus	434,800
Education allowances	39,000
	2,111,800

Employment income attributable to services rendered in Hong Kong under s.8(1A)(a)

$2{,}111{,}800 \times \frac{68}{365}$ *(Note)*	393,431
Add: Rental Value @10% x 393,431	39,343
Less: Self-education expenses	(78,000)
	354,774
Less: Married Person's Allowance	(264,000)
Net chargeable income	90,774

Tax @ progressive rates	
First 90,000	4,050
Reminder 774 x 12%	93
	4,143
Tax thereon @15% standard rate of 354,774	53,216
Tax payable, at lower	4,143

Note:

Total number of days in Hong Kong (per IRD's midnight rule under DIPN No.38 revised 2008, para.46)

June 2017	2	
July 2017	17	
September 2017	9	
December 2017	18	
March 2018	20	66
Total number of vacation days outside Hong Kong	9	
Total number of working days outside Hong Kong	290	299
Total number of days for the year		365

Number of Days attributable to services in Hong Kong

$= 66 + (9 \times \frac{66}{66 + 290})$

$= 66 + 2$

$= 68$

Answer 3(a)

For Staff A and B, share award benefits are assessable to salaries tax as perquisites under s.9(1)(a) of the IRO. With the vesting period of one year from the date of grant (1 April 2017) to the date of vest (31 March 2018), the "Back End approach" as per DIPN No.38 revised 2008, para.60(2) would be adopted in determining the timing and the valuation for salaries tax assessment. In this regard, the share award benefits would be assessable to salaries tax to both Staff A and B on 31 March 2018 (year of assessment 2017/18). The value assessable to salaries tax would be HK$81,000 (8.1 x 10,000) and HK$162,000 (8.1 x 20,000) to Staff A and B respectively. Whether the awarded shares are newly issued or acquired from the stock market is irrelevant to the analysis.

Regarding the payment in lieu of notice of termination of employment, the legal principle established in *Fuchs, Walter Alfred Heniz [HCIA 1/2008][CACV 196/2008][FACV 22/2009]* clearly indicated that payment made by the employer in accordance with the terms of the employment contract or the provisions of the Employment Ordinance will be assessable to salaries tax with respect to the employee. In this regard, the payment in lieu of notice of termination of employment, pursuant to the provision of the employment contract, would be assessable to salaries tax to Staff C.

Answer 3(b)

The fair value of the new shares issued by CNHK and recognised in its profit and loss account as share award expense for accounting purpose is regarded as equity-settled shared based payment. Such amount is not an outgoing or expense incurred under s.16(1) of the IRO. In this connection, the expense in connection to the issue of 10,000 new shares to Staff A should not be deductible from profits tax perspective. On the other hand, the actual expense incurred by CNHK for the acquisition of 20,000 shares to Staff B is regarded as cash-settled share based payment, and should be deductible from profits tax perspective under s.16(1) of the IRO, as the respective amount represents the actual cost incurred by CNHK for the purpose of providing benefits to Staff B.

The payment made by CNHK in lieu of notice of termination of employment to Staff C should be deductible under s.16(1) of the IRO as the amount represents an expense essentially incurred by CNHK in its ordinary course of business in the production of taxable profits.

Answer 4

Under s.14(1) of the IRO, only those profits which arise in or are derived from Hong Kong are subject to profits tax. In this regard, and essentially relevant to the income derived by CNHK from the Taiwan Project (service income in nature), the Inland Revenue Department ("IRD") principally regards the source of service income as the place where the services are performed which give rise to the fees (Departmental Interpretation and Practice Notes ("DIPN") No.21 revised 2012, para.45(e)). Specifically, the broad guiding principle in determining the source or locality of profits is that one looks to see what the taxpayer has done to earn the profit in question, i.e. the "operations test". It is essential to ascertain what were the operations which produced the relevant profits and where those operations took place (*HK-TVB International Limited v CIR [1992] 2 AC 397*) (DIPN No.21 revised 2012, para.10). The focus of this principle, in *ING Baring Securities (Hong Kong) Limited v CIR [2008] 1 HKLRD 412*, emphasised further on the need to grasp the reality of each case, focusing on effective cause without being distracted by antecedent or incidental matters (DIPN No.21 revised 2012, para.14).

In line with the abovesaid broad guiding principle established from judicial precedents, the IRD regards only those operations which produce the profit in question as the effective causes for earning the profits without being distracted by antecedent or incidental matters, and essentially "operations" do not comprise the whole of the taxpayer's activities carried out in the course of his business (DIPN No.21 revised 2012, para.17(f)).

In the contexts of income derived by CNHK in the Taiwan Project, there is no information indicating the location of negotiation, conclusion and execution of the service contract entered thereon. By the same token, CNHK may also perform some other activities in Hong Kong for the Taiwan Project. In determining the source of income from the Taiwan Project, it is important to evaluate whether the activities exclusively conducted in Taiwan are the effective causes in deriving the income. The location of negotiating and effecting the service contract, and its essentiality constituting the abovesaid effective causes in deriving the income should also be examined carefully. In addition, the activities conducted by CNHK in Hong Kong, if any, in connection to the Taiwan Project should be considered holistically to determine whether they are antecedent or incidental matters.

On the assumption that the respective service contract is negotiated and effected outside Hong Kong, and that the relevant activities conducted in Hong Kong by CNHK, if any, are antecedent or incidental matters, CNHK should have essential and adequate grounds eligible to claim the income of Taiwan Project as offshore in nature and therefore should not be subject to profits tax (Alternatively, based on the available information revealed in the case it appears that CNHK may not have essential and adequate grounds eligible to claim the respective income as offshore in nature, as both the details about the contract conclusion and the activities conducted in Hong Kong, if any, had not been identified for analysis).

Answer 5

Mr Luk should observe the guidance provided by the HKICPA on ethics in tax practice under s.430 "Ethics in tax practice" of the *Code of Ethics for Professional Accountants*, especially for the codes relevant to him in considering the acceptance of the engagement offered by CNHK. Specifically, Mr Luk should ensure that his long lasting employment relation with CMHK would not create familiarity threats, or in any way impair his standard of integrity and objectivity. He should also ensure that the tax consultancy fee to be offered by CNHK would not create intimidation threats, or exert any adverse effect on the fairness of his tax consultancy services. Mr Luk should also ensure that he has competence in discharging the tax consultancy services, particularly on the latest tax regime, e.g. concessionary tax treatments on aircraft leasing business, etc.

* * * END OF SECTION A * * *

<u>SECTION B – ESSAY / SHORT QUESTIONS</u> **(Total: 50 marks)**

<u>Answer 6(a)</u>

(i) <u>Dependent parent allowance ("DPA")</u>

Pursuant to s.30(1) of the Inland Revenue Ordinance ("IRO"), a DPA shall be granted in any year of assessment to a person if he maintains a parent in that year and if that parent met the residence requirement and was aged 60 or more at any time in that year. If that parent was aged 55 or more but was under the age of 60 at any time in that year, s.30(1A) of the IRO provides that a lower prescribed amount of DPA shall be granted, given that all other requirements were met.

In the present case, Mrs Leung reached 55 and was ordinarily resident in Hong Kong during the year of assessment 2017/18. Besides, both Big Leung and Small Leung can be accepted as having maintained Mrs Leung as they resided with Mrs Leung continuously throughout the year. Accordingly, both of them are eligible to claim DPA in respect of Mrs Leung for the year of assessment 2017/18.

<u>Disabled Dependant Allowance ("DDA")</u>

S.31A(1) of the IRO provides that a DDA shall be granted in any year of assessment to a person in respect of every dependant who is eligible to claim an allowance under the Government's Disability Allowance Scheme. S.31A(4) defines that "dependant" includes a parent in respect of whom the person is entitled to be granted a DPA under s.30 for the year of assessment.

In the present case, although Mrs Leung does not claim an allowance under the Government's Disability Allowance Scheme, if it can be proved that she is eligible to claim such an allowance, then Big Leung or Small Leung would still be eligible to claim the DDA. To support the claim, IRD would require the claimant to submit a medical assessment issued by a registered medical practitioner certifying that the disability condition of the dependant warrants the disability allowance in the relevant year. However, the pre-requisite is that Big Leung or Small Leung is entitled to be granted the DPA in respect of Mrs Leung.

(ii) S.33(1) of the IRO provides that a DPA shall not be given to more than one person in any year of assessment in respect of the same parent. At the same time, s.33(2) of the IRO stipulates that where the Commissioner of Inland Revenue has reason to believe that two or more persons are eligible to claim a DPA in respect of the same parent for the same year of assessment, the Commissioner shall not consider any claim until he is satisfied that the claimants have agreed which of them shall be entitled to claim in that year.

Accordingly, for the purposes of claiming a DPA, a taxpayer has to, first of all, establish that he is eligible to claim a DPA in respect of his parent for a year of assessment. Then, he has to agree with the other claimant which of them should be entitled to claim the DPA in that year. As explained above, only the taxpayer entitled to be granted a DPA can be granted a DDA in respect of the same dependant. Therefore, only one of them, either Big Leung or Small Leung, can claim both DPA and DDA in respect of Mrs Leung.

Answer 6(b)

Scenario 1

If Big Leung has agreed with Small Leung as regards who should claim the DPA in respect of Mrs Leung for the year of assessment 2017/18, Big Leung should normally be entitled to claim a DPA in respect of Mrs Leung.

However, Big Leung should obtain a statement written by Small Leung confirming that he has now agreed to withdraw his claim for DPA in respect of Mrs Leung for the year of assessment 2017/18. If Big Leung is unable to provide any written agreement given by Small Leung, the Commissioner cannot be satisfied that they have actually made an agreement and in such circumstances, no DPA can be granted to Big Leung.

Scenario 2

S.33(2) of the IRO lays down the criteria for resolving multiple claims of allowance. The intention or wishes of the parent is not a relevant consideration. As such, Big Leung would not be entitled to claim a DPA in respect of Mrs Leung if he only provided a statement written by Mrs Leung.

If Big Leung still wishes to claim a DPA in respect of Mrs Leung for the year of assessment 2017/18, he has to provide a statement written by Small Leung confirming the withdrawal of his claim for that year.

Answer 7(a)

(i) S.5B(2) of the IRO provides that the assessable value of land or buildings for each year of assessment shall be the consideration, in money or money's worth, payable in that year to, to the order of, or for the benefit of, the owner in respect of the right of use of that land or buildings. S.5B(6) specifically includes as consideration any sum payable in respect of the provision of any services or benefits connected with or related to the right to use the property.

Nevertheless, if it is provided in the tenancy agreement that the tenant is responsible for the payment of the management fee, the fee so paid should not be included as consideration payable in respect of the right of use of the relevant property even though it is paid through the landlord. Where a tenancy agreement is silent as regards the party who shoulders the responsibility of paying the management fee, but the established fact shows that the landlord is accustomed to paying the management fee to the management service provider out of the lump sum he receives monthly from the tenant and that he has no right to claim for a repayment from the tenant, only the net sum received by the landlord (as reduced by the management fee paid by him) would be included as consideration payable in respect of the right of use of the relevant property (para.16 and 17 of DIPN No.14 issued in March 2011).

For Shop A, as the monthly rent does not include a management fee and the tenant only paid the management fee to the management service provider through Mr Chan, the management fee should not be included in the consideration payable in respect of the right of use of Shop A and thus not included in the assessable value.

For Shop B, as the monthly rent is a lump sum including a management fee and it is Mr Chan who should be responsible for payment of management fee, the lump sum is the consideration payable for the right of use of Shop B and the management fee cannot be excluded from it.

(ii) Under s.5(1A) of the IRO, only two types of deductions can be allowed. The first type is the rates paid by the landlord and the second type is an allowance for repairs and outgoings of 20%. Accordingly, management fee is not a deductible expense under Property Tax.

For Shop A, as the management fee was paid by the tenant and not by Mr Chan, clearly, no deduction can be allowed to Mr Chan.

In regard to Shop B, the management fee paid by Mr Chan is not deductible under s.5(1A) of the IRO.

Answer 7(b)

The assessable value and net assessable value of Shop A and Shop B are computed as follows:

Shop A

		HK$
Assessable value (HK$23,746 x 12) [s.5B(2)]		284,952
Less:	Rates (HK$3,750 x 4) [s.5(1A)(b)(i)]	15,000
		269,952
Less:	20% statutory outgoings [s.5(1A)(b)(ii)]	53,991
Net assessable value		215,961

Shop B

Assessable value (HK$18,000 x 9) [s.5B(2)]		162,000
Less:	Rates (HK$2,700 x 3) [s.5(1A)(b)(i)]	8,100
		153,900
Less:	20% statutory outgoings [s.5(1A)(b)(ii)]	30,780
Net assessable value		123,120

Answer 8

Computation for Property X

	HK$
Company A	
Cost of construction	1,500,000
Commercial building allowance ("CBA") for 2013/14 to 2016/17	
[HK$60,000 (i.e. 4% x HK$1,500,000) x 4]	240,000
	1,260,000
Sale price (HK$8,000,000 - HK$5,000,000)	3,000,000
	1,740,000
Balancing charge (limited to the CBA granted)	240,000
Company B	
Residue before sale	1,260,000
Balancing charge to Company A	240,000
Residue after sale	1,500,000
Year of first use	2013/14
25th year after year of first use	2038/39
Number of years from 2017/18 to 2038/39	22
CBA for 2017/18 (HK$1,500,000 / 22)	68,182

Computation for Property Y

Company C	
Cost of construction	1,800,000
Rebuilding allowance for 1996/97 and 1997/98	
[HK$36,000 (i.e. 2% x HK$1,800,000) x 2]	72,000
Residue under s.33A(4)	1,728,000
CBA for 1998/99 to 2016/17	
[HK$69,120 (i.e. 4% x HK$1,728,000) x 19]	1,313,280
	414,720
Sale price (HK$9,500,000 - HK$8,000,000)	1,500,000
Balancing charge	1,085,280
Company D	
Residue before sale	414,720
Balancing charge to Company C	1,085,280
Residue after sale	1,500,000
Deemed year of first use	1998/99
25th year after year of first use	2023/24
Number of years from 2017/18 to 2023/24	7
CBA for 2017/18 (HK$1,500,000 / 7)	214,286

Answer 9(a)

For the purpose of eliminating of double taxation, s.50 of the IRO provides for the allowance of a tax credit in relation to an item of income stipulated in the double taxation arrangement having effect under s.49 and in respect of which tax has been paid.

According to para.2 of Article 21 of the Arrangement between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income ("DTA"), the tax paid in the Mainland in respect of any item of income derived from sources in the Mainland will be allowed as a credit against the tax payable in Hong Kong on that income. Therefore, only the tax paid in respect of the income attributable to the services rendered in the Mainland can be considered for a tax credit.

In the present case, the income attributable to the services rendered by Mr Wong in the Mainland should be HK$263,013 (HK$480,000 x 200 / 365). However, as the amount of salaries that has been taxed in the Mainland was HK$100,000 only, tax credit can only be allowed in respect of the tax paid on that income.

In regard to the bonus of HK$50,000, although it has been fully subject to tax in the Mainland, there is no information showing that it was wholly attributable to the services rendered by Mr Wong in the Mainland. Accordingly, only the tax paid in respect of the income attributable to his services in the Mainland, say HK$27,397 (HK$50,000 x 200 / 365), can be allowed for tax credit.

Answer 9(b)

Company A would have to be subject to Corporate Income Tax ("CIT") if it is considered that a permanent establishment ("PE") exists in the Mainland. PE is explained in Article 5 of the DTA. Para.1 of Article 5 defines that a PE is a fixed place of business through which the business activities of the enterprise are carried on. Para.2 of Article 5 provides that the term PE includes, among others, an office.

Under para.3 of Article 5, the term PE encompasses the furnishing of services by an enterprise of One Side in the Other Side, directly or through employees, but only if such activities continue for a period of periods aggregating more than 183 days within any 12-month period.

Para.5 of Article 5 of the DTA also provides that where a person is acting in One Side on behalf of an enterprise of the Other Side, and the person has, and habitually exercises, an authority to conclude contracts in the name of the enterprise, that enterprise shall be deemed to have a PE in that One Side in respect of any activities which that person undertakes for that enterprise.

In the present case, Mr Wong worked as Sales Manager of Company A at the office of Company B in the Mainland. Prima facie, there was a fixed place of business through which the activities of Company A were carried on. If Mr Wong stayed in the Mainland for a continuous or cumulative period of more than 183 days within any 12-month period, or if he habitually exercised his authority to conclude contracts for Company A, then Company A will be regarded as having a PE in the Mainland and has to be subject to CIT in respect of the activities undertaken by Mr Wong in the Mainland.

* * * END OF EXAMINATION PAPER * * *